Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard on Wednesdays at 9:00 a.m.

Date: May 27, 2026

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Hong vs. McDonald's Corporation	**OFF CALENDAR**
2	Marimed Inc. vs. TUV Investments LLC	**TENTATIVE RULING:** For the reasons set forth below, Defendant Jennifer Whalen's demurrer to the First Amended Complaint is SUSTAINED with leave to amend. Defendant's motion to strike is DENIED as moot. Defendant Jennifer Whalen ("Whalen") demurs to Plaintiff Marimed, Inc.'s First Amended Complaint ("FAC") on the ground that it fails to allege facts sufficient to state claims against her in her individual capacity. Specifically, Whalen contends that Plaintiff's claims are based entirely on an alter ego theory, but the FAC alleges only conclusory assertions of unity of interest and inequitable result without sufficient supporting factual allegations. **Statement of Law** "Ordinarily, a corporation is regarded as a legal entity, separate and distinct from its stockholders, officers and directors, with separate and distinct liabilities and obligations. [Citations.]" (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538.) "[T]he

		corporate form will be disregarded only in narrowly defined circumstances and only when the ends of justice so require." (*Mesler v. Bragg Management Co*. (1985) 39 Cal.3d 290, 301.) To impose alter ego liability, a plaintiff must establish both (1) a unity of interest and ownership, and (2) an inequitable result if the corporation is treated as the sole actor. (*Constellation-F, LLC v. World Trading 23, Inc*. (2020) 45 Cal.App.5th 22, 30; *Eleanor Licensing LLC v. Classic Recreations LLC* (2018) 21 Cal.App.5th 599, 615.) A unity-of-interest finding sufficient to impose liability against a corporate owner may be shown by a commingling of personal and corporate assets, using corporate assets for personal purposes, gross under-capitalization of the corporation, disregarding corporate formalities, and any other circumstances that might support the conclusion that no separation actually existed between the corporate owner and the corporation. (*Kao v Joy Holiday* (2020) 58 Cal.App.5th 199, 206–207 [sufficient showing that owners of closely held corporation were alter egos of corporation due to commingling of assets and unauthorized use of corporate assets to pay personal expenses; *Eleanor Licensing LLC v Classic Recreations LLC, supra*, 21 Cal.App.5th at 615–616 [insufficient showing in this case]; *Misik v D'Arco* (2011) 197 Cal.App.4th 1065, 1073 [identifying facts in prior court decisions supporting unity-of-interest finding]; *A.J. Fistes Corp. v GDL Best Contractors, Inc*. (2019) 38 Cal.App.5th 677, 696 [allegation that person owns all corporate stock and makes all management decisions is insufficient to cause court to disregard corporate entity].) With regard to the second factor required for alter ego liability. a finding that there would be an inequitable result if the acts in question were treated as those of the corporation alone, when the corporate form is used to perpetrate a fraud, circumvent a statute, or accomplish another wrongful or inequitable purpose, courts will ignore the corporate entity and deem the corporation's acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners. (*Kao v Joy Holiday, supra*, 58 Cal.App.5th at 207; *Turman v Superior Court* (2017) 17 Cal.App.5th 969, 981.) **<u>FAC Allegations Against Whalen:</u>** Whelan is the Chief Executive Officer ("CEO") of Defendant TUV Investments LLC d/b/a Evergreen Gateway ("Evergreen") and, at all relevant times, was a resident of Southern California and the signatory to the parties' Terms and Conditions Agreement on behalf of Evergreen. (FAC, ¶ 3.)

		Based on information and belief, Evergreen is and was wholly owned and controlled by Whelan and there is and was a unity of interest and ownership which existed between Whelan and Evergreen, such that the separateness of the individual and the entity never existed. Further, based on information and belief, denying the unity of interest between Whalen and Evergreen will result in fraud and inequity for Plaintiff. This alter ego should result in piercing the corporate veil because the corporate veil of Evergreen should be set aside so that Whelan may be held personally responsible and accountable for all acts and transactions of Evergreen. (FAC, ¶ 4.) **<u>Merits</u>** Although Plaintiff alleges, on information and belief, that Whalen wholly owned and controlled Evergreen and that recognizing the corporate form would result in fraud and inequity, the FAC does not allege supporting facts such as commingling of assets, misuse of corporate funds, undercapitalization, disregard of corporate formalities, or other conduct demonstrating that no meaningful separation existed between Whalen and Evergreen. Instead, the FAC essentially recites the elements of alter ego liability in conclusory fashion. The FAC likewise does not allege facts showing that the corporate form was used to perpetrate fraud or accomplish another inequitable purpose sufficient to justify piercing the corporate veil. Accordingly, the demurrer is sustained with leave to amend. In light of the Court's ruling on the demurrer, the motion to strike is denied as moot. Should Plaintiff wish to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 30 days of service of notice of ruling. Defendant to give notice.
3	Shy Enterprises, Inc. vs. Chung	**TENTATIVE RULING:** Defendants In Joo Chung, James Chung, and Defendant 121 Company, Inc., demur to the Complaint of Plaintiff Shy Enterprises, Inc. For the following reasons, the demurrer is SUSTAINED with leave to amend.

Standard on Demurrer

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-1405.) Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) A demurrer tests only the sufficiency of the complaint; a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 n.7.)

Although courts should take a liberal view of inartfully drawn complaints (*see* Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; *see* Code Civ. Proc., § 425.10(a).)

First Cause of Action (Concealment)

The first cause of action alleges Defendants concealed and suppressed material facts relating to the ventilation system at the restaurant and citations by county authorities. (FAC ¶ 48.)

Active concealment or suppression of facts is the equivalent of actual fraud. (Civ. Code, § 1572(3).) The elements of a cause of action for fraudulent concealment are: (i) concealment or suppression of a material fact; (ii) by a defendant with a duty to disclose the fact to the plaintiff; (iii) defendant's intent to defraud plaintiff by intentionally concealing or suppressing the fact; (iv) plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (v) as a result, the plaintiff sustained damage. (*Hambrick v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162; *see also* Civ. Code, § 1573.)

		"A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent." (*SCC Acquisitions, Inc. v. Central Pac. Bank* (2012) 207 Cal.App.4th 859, 860.) There are "four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]" (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.) "If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, . . . the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. '[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[ ] . . . are insufficient for the foregoing purposes.' (*Goodman* [*v. Kennedy* (1976) 18 Cal.3d 335,] 347.)" (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43–44.) Here, the FAC alleges facts supporting a duty to disclose by Defendants; the FAC alleges Defendants made partial representations (i.e., that the restaurant could continue operations seamlessly) while suppressing material facts (i.e., that the restaurant had no code-compliant ventilation system). The FAC, however, does not allege facts showing that concealment caused Plaintiff damage, as the alleged partial representations took place during a meeting in mid-April 2023—after Plaintiff had purchased the restaurant. (*See* FAC ¶¶ 13, 21.) In other words, the FAC does not allege sufficient facts to support a duty to disclose prior to sale.

		<u>Second and Third Causes of Action (Intentional and Negligent Misrepresentation)</u> The second and third causes of action allege that, prior to the sale, Defendants In Joo Chung and James Chung (collectively, the "Chung Defendants") orally misrepresented that the Restaurant's existing hood system was adequate and lawful for grilling meats and other grease-laden foods; that the Restaurant was fully compliant with all health and safety regulations; that the business as operated could continue without interruption or modification; and that the equipment listed in the Bill of Sale, including two photo booths, was functional and included in the purchase. (FAC ¶¶ 58-59, 76-77.) The third cause of action alleges the Chung Defendants had no reasonable grounds to believe these representations to be true. (FAC ¶ 78.) The elements of a cause of action for fraud are: (i) misrepresentation; (ii) defendant's knowledge of the statement's falsity; (iii) defendant's intent to defraud; (iv) plaintiff's justifiable reliance; and (v) resulting damage. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 230-231; Witkin Summary of Cal Law, Torts § 676.) Fraud must be pleaded with specificity. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on another ground as stated in *California for Disability Rights v. Mervyn's, LLC* (2006) 39 Cal.4th 223, 227.) California's heightened pleading rule serves two purposes: (1) to put the defendant on notice, to "furnish [it] with certain definite charges which can be intelligently met"; and (2) to weed out nonmeritorious actions. (*Id.*) The elements of a cause of action for negligent misrepresentation are: (i) A false statement of material fact that the defendant honestly believes to be true, but made without reasonable grounds for such belief; (ii) made with the intent to induce reliance; (iii) plaintiff's reasonable reliance on the statement; and (iv) damages. (*Century Surety Co. v. Crosby Ins.* (2004) 124 Cal.App.4th 116, 129.) Negligent misrepresentation must be alleged with the same particularity required to plead fraud. (*Small v. Fritz Cos Inc.* (2003) 30 Cal.4th 167, 184.) The pleading must allege how, when, where, to whom and by what means the representations were tendered. (*Id.* at 184.) Here, the FAC does not allege with sufficient specificity which defendant made the alleged misrepresentations, where, and when.

		Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff shall file and serve the amended complaint within 30 days of service of the notice of ruling. Defendants to give notice.
4	Garcia De Jaimes vs. ST. John Knits, Inc.	**TENTATIVE RULING:** **<u>Motion to Compel Arbitration</u>** Defendant St. John Knits, Inc. moves to compel arbitration of the claims asserted by Plaintiff Elizabeth Garcia De Jaimes. For the following reasons, the unopposed motion to compel arbitration is GRANTED. Both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA") require the existence of a valid arbitration agreement, before arbitration can be compelled. (See 9 U.S.C. § 2 and Code Civ. Proc., § 1281.2.) Under either authority, the moving party bears the burden of proving the existence of an applicable agreement and the party opposing arbitration bears the burden of proving any defense. (See *Engalla v. Permanente Medical Group, Inc*. (1997) 15 Cal.4th 951, 972 ["The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense"]; See also *Installit, Inc. v. Carpenters 46 Northern California Counties Conference Board* (N.D. Cal. 2016) 214 F.Supp.3d 855, 859 ["The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense…."].) Defendant has provided evidence of an Arbitration Provision in the Motor Vehicle Order Agreement and Retail Installment Sale Contract that is undisputed by Plaintiff. (Kim Dec., ¶¶ 3-11 and Exs. 1 and 2.) In determining whether a contractual arbitration clause covers a particular dispute, the primary focus is on whether the clause at issue is "broad" or "narrow." (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1067.) In determining the scope of an arbitration clause, trial courts attempt to give effect to the parties' expressed intentions. (*Victoria v. Superior Court* (1985) 40 Cal. 3d 734, 744.)

		Here, the scope of the Arbitration Agreement is very broad and encompasses the claims asserted by Plaintiff against Defendant. In covering "all disputes, claims or disagreements arising from or relating to this Agreement, the employment relationship between the parties or the establishment or termination of the employment relationship that are not resolved via mutual agreement," the Agreement covers Plaintiff's claims against Defendant. (Fajardo Dec., ¶¶ 6-7 and Ex. E; Treasure Dec., at ¶ 4 and Ex. C.) Plaintiff did not oppose the motion and thus provides no basis to deny the motion to compel arbitration. Accordingly, the Motion to Compel Arbitration is granted, and the action stayed, pending the completion of arbitration. (Code Civ. Proc. § 1281.4.) An ADR Review Hearing is set for 9:00 a.m. on September 22, 2026, in Department N16. Defendant shall give notice of this ruling.
5	Activate Clean Energy, LLC vs. DMX Engineering, LLC	**TENTATIVE RULING:** **Motion to Modify Order** Plaintiffs/Cross-Defendants Activate Clean Energy, LLC, and Rasa Energy, Inc.; and Cross-Defendants David Martin, William Wismann, Robert Kendall, Anthony Buda, and Ernest Lee move to modify this court's 07/02/2025 order granting foreign attorney Maggi L. Evert's motion to appear pro hac vice, to reflect Attorney Saundra K. Wootton will be associated counsel of record. For the following reasons, the motion is CONTINUED to July 1, 2026, at 9:00 a.m. in this Department. No later than nine (9) court days before the continued hearing, Moving Parties shall file a supplemental brief addressing to what extent notice must be provided on the California State Bar prior to any modification of the order granting Attorney Ebert's pro hac admission and/or whether the California State Bar requires a separate or renewed application for pro hac vice admission. (*See* Cal. Rules of Ct., Rule 9.40.) No later than five (5) court days before the continued hearing, Defendants may file any opposition or response. Moving party to give notice.

6	Baljeu vs. Wheeler	**TENTATIVE RULING:** For the reasons set forth below, the Court construes the "Motion to Dismiss" filed by Defendants Joe Philip, Michael McClare and Brandon Musslman, as a Motion for Judgment on the Pleadings, brought pursuant to Code of Civil Procedure section 438 and GRANTS the same, with respect to the Third, Sixth, Seventh and Eighth Causes of Action, with 30 days-leave to amend. The remainder of the motion is DENIED. While labelled a "Motion to Dismiss," Defendants do not identify any statutory or common law authority, which supports requesting dismissal in the manner asserted herein; however, "a trial court may construe a motion bearing one label as a different type of motion" as "[t]he nature of a motion is determined by the nature of the relief sought, not by the label attached to it." (*Austin v. Los Angeles Unified School Dist.* (2016) 244 Cal.App.4th 918, 930.) Moreover, "[a] motion to dismiss may be substituted for a demurrer as the first pleading." (*Barragan v. Banco BCH* (1986) 188 Cal.App.3d 283, 299.) Where, as here, Defendants have already answered the complaint, it is more appropriate to construe the motion as a motion for judgment on the pleadings: A defendant may move for judgment on the pleadings, on the basis the complaint "does not state facts sufficient to constitute a cause of action against that defendant." (Code Civ. Proc., § 438, subd. (c)(1)(B)(ii).) Such a motion may be brought after a defendant has already answered and the time for demurrer has expired. (Code Civ. Proc., § 438, subd. (f)(2).) "Lack of standing to sue is essential to a claim because it goes to the 'existence of a cause of action.'" (*Anaheim Mobile Estates, LLC v. State of California* (2025) 113 Cal.App.5th 602, 614.) Having construed this as a motion for judgment on the pleadings, however, analysis must be limited to "the face of the challenged pleading or…any matter of which the court is required to take judicial notice." (Code Civ. Proc., § 438, subd. (d).) Consequently, the Court must decline to consider all evidence submitted by the parties, for which judicial notice was neither sought nor granted. Similarly, Defendants' evidentiary objections are MOOT. (See ROA No. 138.) Plaintiff's unopposed Request for Judicial Notice (ROA No. 131) is GRANTED, pursuant to Evidence Code section 452, subdivision (c).

		Within this motion, Defendants assert Plaintiff lacks standing to bring claims against them as Plaintiff is attempting to assert derivative claims on behalf of WSFS, Inc., without complying with Corporations Code section 800. "[A] derivative suit is one in which the shareholder seeks 'redress of the wrong to the corporation." (*Bader v. Anderson* (2009) 179 Cal.App.4th 775, 793.) "Thus, an action is derivative, i.e., in the corporate right, if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets." (*Ibid.* [internal quotations omitted].) "On the other hand, a direct individual suit by a stockholder 'is a suit to enforce a[]right against the corporation which the stockholder possesses as an individual.'" (*Ibid.*) "A direct (as opposed to a derivative) action is maintainable 'only if the damages [are] not *incidental* to an injury to the corporation.'" (*Ibid.*) A derivative action cannot be maintained unless "[t]he plaintiff alleges in the complaint with particularity plaintiff's efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file." (Corp. Code, § 800, subd. (b)(2).) Following a review of the First Amended Complaint, the Court GRANTS the motion, with respect to the Third, Sixth, Seventh and Eighth causes of action, with 30 days leave to amend. Initially, while it appears undisputed Plaintiff asserted *direct* claims against Defendants Walter Wheeler and WSFS, Inc., the instant motion is brought solely on behalf of Defendants Joe Philip, Michael McClare and Brandon Musselman. While the Motion indicates an intent to challenge the Fourth Cause of Action, this request is denied, as the Fourth Cause of Action is asserted solely against Defendant Walter Wheeler, who is not a party to this motion. (See FAC [ROA No. 8].) As against the moving Defendants, the Complaint alleges the same "conspired to surreptitiously sequester, convert, and wrongfully transfer all of the assets of WSFS into Wheeler Steel without the knowledge and consent of Plaintiff." (¶18 of FAC [ROA No. 8].) This

		allegation is repeated, within the Third Cause of Action (¶42 of FAC), the Sixth Cause of Action (¶60 of FAC) and the Seventh Cause of Action (¶66-¶67 of FAC) and consequently forms the gravamen of the claims against moving Defendants. As noted by moving Defendants, the alleged damages are directed towards the corporation WSFS. (See *PacLink Communications Inern., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 964 ["[T]he essence of plaintiffs' claim is that the assets of PacLink-1 were fraudulently transferred without any compensation being paid to the LLC. This constitutes an injury to the company itself."]) Plaintiff asserts his claims are *direct* arguing: "The gravamen of Plaintiff's claims alleges injury to Plaintiff personally, not to WSFS, Inc. Plaintiff claims that Wheeler breached an oral contract to compensate Plaintiff for labor and investment…Plaintiff alleges that Wheeler failed to honor a personal contractual obligation to Plaintiff." (Opposition: 5:23-28.) Plaintiff does not, however, address the claims asserted against moving Defendants or otherwise establish a direct injury, attributed to these parties. While the claims directed towards moving Defendants include references to "conspiracy," to the extent Plaintiff intends to allege the moving Defendants are vicariously liable for the direct injuries caused by Wheeler and WSFS, Inc., any such intention has not been clearly communicated in the First Amended Complaint. Indeed, the opposition suggests conspiracy *is not* the bases of the claims against moving Defendants, as Plaintiff asserts "[e]ach of the causes of action subject to the motion to dismiss is couched in terms of the individual defendant's personal action…." (Opposition: 7:7-8.) In opposing this motion, Plaintiff asserts he is unable to allege a derivative action, as he was "never made an officer, director, or issued stock in WSFS, Inc." (Opposition: 3:19-20.) Pursuant to Corporations Code section 800, a derivative action can only be maintained where "[t]he plaintiff alleges in the complaint that plaintiff was a shareholder, of record or beneficially, or the holder of voting trust certificates at the time of the transaction or any part thereof of which plaintiff complains…." (Corp. Code, § 800, subd. (b)(1).)

		While Plaintiff asserts he was never issued formal stock, the Complaint alleges "Plaintiff was an investment owner of WSFS…." (¶16 of FAC.) Regardless, however, the possible unavailability of a derivative action, does not cure the fundamental standing issue identified by Defendants: "Every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute." (Code Civ. Proc., § 367.) Where, as here, the sole damage is alleged to have been inflicted on WSFS, Inc., WSFS, Inc. is the real party in interest. With respect to the Eighth Cause of Action, "[a]n action for an accounting has two elements: (1) 'that a relationship exists between the plaintiff and defendant that requires an accounting' and (2) 'that some balance is due the plaintiff that can only be ascertained by an accounting.'" (*Sass v. Cohen* (2020) 10 Cal.5th 861, 869.) It remains the case that the sole basis for an accounting alleged against the moving Defendants is the alleged injury to WSFS, Inc., which Plaintiff lacks standing to pursue Based on all the above, the Motion for Judgment on the Pleadings is granted, as against the Third, Sixth, Seventh and Eighth Causes of Action; however, as Plaintiff's intentions are unclear and as it's possible Plaintiff can clarify and allege a *direct* injury, leave to amend is provided. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff shall file and serve the amended complaint within 30 days of service of the notice of ruling. Moving Defendants to give notice.
7	Camara vs. Irvine Sensors Corporation	**TENTATIVE RULING:** **<u>Motion 1. Motion to Tax or Strike Costs</u>** Defendant Irvine Sensors Corporation moves to tax or strike costs claimed by Plaintiffs Betty Camara, David Hughes, Sharon Anderson, Daniel Berger, Daniel DeBlasio, Jr., Timothy Dicus, Anthony Mastrangelo, David Peter, Raul Ramirez, Grant Yamaguchi, and James Yamaguchi. For the following reasons, the motion is GRANTED.

Moving Defendant's request for judicial notice is DENIED as unnecessary. A court may deny a request for judicial notice, where the material referenced is not "necessary, helpful, or relevant." (*See Zucchet v. Galardi* (2014) 229 Cal.App.4th 1466, 1474, fn. 5 [citing *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6].)

Statutory Right to Recover Costs

The right to recover costs of suit is determined entirely by statute. (Code Civ. Proc., § 1032.) "Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032(b).). (Code Civ. Proc., § 1032(b).) Allowable costs, however, must be "reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation" and "reasonable in amount." (Code Civ. Proc., § 1033.5(c)(2)-(3).) Whether a cost item was reasonably necessary to the litigation is a question of fact for the trial court to determine. (*Foothill-De Anza Comm. College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29-30.)

Here, it is undisputed Plaintiffs are prevailing parties and may recover costs against Defendant Irvine Sensors Corporation ("ISC") and John Carson.

The court record shows Defendants John Stuart and Joanne Carson, were dismissed prior to trial (ROA # 204, 220, 226), and Plaintiffs' Request for Dismissal of Defendant Stuart notes that "Plaintiffs agree to bear their own fees and costs relating to the claims asserted against Mr. Stuart." (ROA # 226.)

A plaintiff cannot recover from one defendant the costs to litigate claims against *another* defendant. (*See Charton v. Harkey* (2016) 247 Cal.App.4th 730, 733-734, 739-741 [holding a dismissed defendant is entitled to recover its costs, even if it was united in interest with other unsuccessful defendants].) Therefore, Plaintiffs must show their claimed costs are reasonably necessary to the litigation of Plaintiffs' claims against Defendants ISC and John Carson.

Standard on Motion to Strike or Tax Costs

If the items on a verified memorandum of costs appear to be proper charges, the memorandum is *prima facie* evidence of their propriety, and the burden is on the party contesting them to show that they were not reasonable or necessary. (*Foothill-De Anza Comm. College Dist.*

		v. Emerich (2007) 158 Cal.App.4th 11, 29; *Wagner Farms, Inc. v. Modesto Irrigation Dist.* (2006) 145 Cal.App.4th 765, 773-774.) The party challenging costs bears the initial burden to present evidence and prove the costs are not recoverable; mere statements in points and authorities and conclusory statements by counsel are insufficient to rebut the *prima facie* showing. (*Seever v. Copley Press, Inc.* (2006) 141 Cal.App.4th 1550, 1557; *Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1266.) On the other hand, items that are properly objected to are put in issue, and the burden of proof is on the party claiming them as costs. (*Ladas v. California State Auto. Ass'n.* (1993) 19 Cal.App.4th 761, 774–776.) Whether a cost item was reasonably necessary to the litigation is a question of fact for the trial court to determine. (*Foothill-De Anza Comm. College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29-30.) **<u>Challenged Costs (Item 4. Deposition Costs)</u>** Code of Civil Procedure section 1033.5(a)(3) provides for the recovery of costs associated with "necessary depositions." Plaintiffs claim $12,086.44 in deposition costs. Moving Defendant properly objects to the costs associated with the deposition of dismissed defendant John Stuart. Plaintiffs do not meet their shifted burden to show this deposition was necessary to the litigation of the claims against Defendants ISC and John Carson. The court, therefore, taxes $2,293.35 of the claimed deposition costs. **<u>Challenged Costs (Item 5. Service of Process)</u>** Code of Civil Procedure section 1033.5(a)(4)(A)-(C) provides for the recovery of costs for service of process by a public official, process server, and publication. Plaintiffs claim $765.00 in service of process costs. Moving Defendant properly objects to the costs for service of process on dismissed defendants John Stuart and Joanne Carson. Plaintiffs do not meet their shifted burden to show service of process on these defendants was reasonably necessary to the litigation of Plaintiffs' claims against Defendants ISC and John Carson. The court taxes $325.00 of the claimed service of process costs .

		<u>Challenged Costs (Item 11. Court Reporter Fees)</u> Code of Civil Procedure Section 1033.5(a)(11) provides for the recovery of "[c]ourt reporter fees as established by statute." (*See also* Cal. Rules Ct., Rule 2.956 [providing that "[i]f the services of an official court reporter are not available for a hearing or trial in a civil case, a party may arrange for the presence of a certified shorthand reporter to serve as an official pro tempore reporter. It is that party's responsibility to pay the reporter's fee for attendance at the proceedings, but the expense may be recoverable as part of the costs, as provided by law"].) The "catchall" of subdivision (c)(4) provides that "[i]tems not mentioned in this section and items assessed upon application may be allowed or denied in the court's discretion" if the prevailing party shows the cost was reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. (Code Civ. Proc., § 1033.5(c).) Although trial court reporter costs are expressly not recoverable unless ordered by the court (Code Civ. Proc., § 1033.5(b)(5)), trial transcripts are a recoverable cost in multi-day trials such as this one. (*Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 42-43 [error to disallow $5,882.00 claim for trial transcripts for an eight-day jury trial].) "As a practical matter, [plaintiff] would have been unable to defend the jury award without the trial transcripts. At the very least, [plaintiff] would have incurred additional expenses and great difficulty in defending the award without the trial transcripts, in the event [defendant] challenged the jury award in posttrial proceedings or on appeal." (*Id.* at p. 43; see *Alan S. v. Superior Court* (2009) 172 Cal.App.4th 238, 262 [it is within the trial court's discretion to award costs for the transcripts of a hearing, as the transcripts tell "the story of this litigation in all its warts and glory," and they give a reviewing court "a sense of what was happening 'on the ground' at the trial level"].) Plaintiffs claim $33,619.87 in trial court reporter fees. Plaintiffs later amended their request to claim $31,224.87 in trial court reporter fees, and now $30,695.07. Plaintiffs' supplemental evidence shows these to be proper charges. (*See* Cordes Decl., Ex. F.) Thus, the court will tax $2,924.80 and award $30,695.07 in court reporter fees.

		Challenged Costs (Item 15. Other) Expert witness fees are not allowable unless ordered by the court or expressly authorized by law. (Code Civ. Proc., § 1033.5(a)(8), (b)(1).) Plaintiffs claim $25,244.35 in expert witness fees. Defendant ISC properly objects to this amount arguing Plaintiffs are not entitled to recover expert witness fees. Plaintiffs argue they are entitled to recover expert witness fees pursuant to Labor Code section 1194. Section 1194(a) provides in relevant part: ". . . [A]ny employee receiving less than the legal minimum wage or the legal overtime compensation applicable to the employee is entitled to recover in a civil action the unpaid balance of the full amount of this minimum wage or overtime compensation, including interest thereon, reasonable attorney's fees, and costs of suit." This section does not expressly authorize expert witness fees, and Plaintiffs cite no authority interpreting the statute to do so. For these reasons, the court will tax all expert witness costs. The court hereby taxes $30,767.50 in claimed costs. Plaintiff shall recover $45,403.87 in prejudgment costs from Defendant Irvine Sensors Corporation and Defendant John Carson. Defendant Irvine Sensors Corporation to give notice. **Motion 2. Joinder** Defendant John Carson joins in Defendant Irvine Sensors Corporation's motion to strike and/or tax Plaintiffs' memorandum of costs, as well as the reply in support of that motion. For the following reasons, the motion is DENIED. On 04/29/2026, Defendant John Carson filed a "Notice of Joinder to Irvine Sensors Corporation's Motion to Strike and/or Tax Plaintiffs' Memorandum of Costs and Reply in Support of Motion." (ROA # 770.) The joinder is untimely, as it was not served and filed at least 16 court days prior to the scheduled hearing. (*See Village Nurseries, L.P. v. Greenbaum* (2002) 101 Cal.App.4th 26, 46-47; *Frazee v. Seely* (2002) 95 Cal.App.4th 627, 636-637.)

Furthermore, the joinder seeks no affirmative relief. Joinder is appropriate only where the joinder seeks affirmative relief on behalf of the joining party and joins in the arguments made by the motion being joined. (*See Barak v. Quisenberry Law Firm* (2006) 135 Cal.App.4th 654, 661 [finding joinder adequately sought affirmative relief where the notice of joinder notes the joining party "seeks an order striking Plaintiff's Complaint as to Defendant [joining party] and awarding [joining party] his costs and attorney's fees in bringing a special motion to strike"].)

Defendant Irvine Sensors Corporation to give notice.

<u>Motion 3. Motion for Attorney's Fees</u>

Plaintiffs Betty Camara, David Hughes, Sharon Anderson, Daniel Berger, Daniel DeBlasio, Jr., Timothy Dicus, Anthony Mastrangelo, David Peter, Raul Ramirez, Grant Yamaguchi, and James Yamaguchi move for an award of reasonable attorney's fees. For the following reasons, the motion is GRANTED in part and DENIED in part. Plaintiffs shall recover $1,000,588.00 in reasonable attorney's fees. Plaintiffs shall recover no additional costs.

<u>Standard on Motions for Attorney's Fees</u>

On a motion for attorney's fees, the moving party has the burden of: (1) establishing entitlement to an award, and (2) documenting the appropriate hours expended and hourly rates. (*ComputerXpress, Inc. v. Jackson* (2001) 93 Cal.App.4th 993, 1020.)

It is moving party's burden of proof to show the fees they incurred and that the fees were reasonably incurred. (*See Christian Research Institute v. Alno* (2008) 165 Cal.App.4th 1315, 1320; *Maughan v. Google Tech.*, Inc. (2007) 143 Cal.App.4th 1242, 1254.) "[T]he verified time statements of the attorneys, as officers of the court, are entitled to credence in the absence of a clear indication the records are erroneous." (*Horsford v Board of Trustees of California State University* (2005)132 Cal.App.4th 359, 396; *Raining Data Corp. v. Barrenechea* (2009) 175 Cal.App.4th 1363, 1367 [declarations of counsel are also "sufficient to meet the burden of establishing the reasonableness of the fees incurred, without the need to produce copies of counsel's detailed billing statements"].) "[N]ecessary support services for attorneys, e.g. secretarial and paralegal services, are includable within an award of attorney fees." (*Salton Bay Marina, Inc. v. Imperial Irrigation Dist.* (1985) 172 Cal.App.3d 914, 951.)

		To oppose a showing of a fee request supported by declarations describing the efforts taken with billing records to establish the hours of work, a party may “attack the itemized billings with evidence that the fees claimed were not appropriate, or obtain the declaration of an attorney with expertise in the procedural and substantive law to demonstrate that the fees claimed were unreasonable.” (*Premier Med. Mgmt. Sys. v. Cal. Ins. Guarantee Assoc.* (2008) 163 Cal.App.4th 550, 563-564.) “General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice.” (*Id.* at p. 564.) “When confronted with hundreds of pages of legal bills, trial courts are not required to identify each charge they find to be reasonable or unreasonable, necessary or unnecessary.” (*Gorman v. Tassajara Development Corp.* (2009) 178 Cal.App.4th 44, 101.) “The party opposing the fee award can be expected to identify the particular charges it considers objectionable. A reduced award might be fully justified by a general observation that an attorney overlitigated a case or submitted a padded bill or that the opposing party has stated valid objections.” (*Ibid.*) The Court will reduce the hours it determines were excessive or not supported. (*Levy v. Toyota Motor Sales, U.S.A., Inc*. (1992) 4 Cal.App.4th 807, 816 [party seeking attorney fees has the “burden of showing that the fees incurred were ‘allowable,’ were ‘reasonably necessary to the conduct of the litigation,’ and were ‘reasonable in amount’”]; *Christian Research Institute v. Ahor* (2008) 165 Cal.App.4th 1315, 1326-29 [affirming award for 71 hours of attorney time in case where attorneys sought fees for over 600 hours].) Fee award amounts are matters within the trial court's discretion: the “trial judge is the best judge of the value of professional services rendered in his court, and while his judgment is of course subject to review, it will not be disturbed unless the appellate court is convinced that it is clearly wrong.” (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132.) “A fee request that appears unreasonably inflated is a special circumstance permitting the trial court to reduce the award or deny one altogether.” (*Serrano v. Unruh* (1982) 32 Cal.3d 621, 635 [noting that “ ‘unless special circumstances would render such an award unjust,’” “parties who qualify for a fee should recover for all hours reasonably spent”]; *see also Meister v. Regents of University of California* (1998) 67 Cal.App.4th 437, 447–448.) The *Serrano* court cited with approval a federal case encouraging a complete denial of fees where the fee request was unreasonably excessive. (*Id.* at p. 635.) “’If ... the Court were required to award a reasonable fee when an outrageously unreasonable one has been asked for, claimants would be encouraged to make unreasonable demands, knowing that

		the only unfavorable consequence of such misconduct would be reduction of their fee to what they should have asked in the first place. To discourage such greed, a severer reaction is needful....' " (*Serrano v. Unruh*, *supra*, 32 Cal.3d at p. 635, citation omitted.) In addition, "a trial court may consider an attorney's pervasive incivility in determining the reasonableness of the requested fees." (*Snoeck v. Exaktime Innovations, Inc.* (2023) 96 Cal.App.5th 908, 911.) Courts use the lodestar adjustment method to determine the amount of attorney's fees to award in Song-Beverly actions. (*Reynolds v. Ford Motor Co.* (2020) 47 Cal.App.5th 1105, 1112.) "[T]he lodestar is the basic fee for comparable legal services in the community." (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132 ("*Ketchum*").) It is "based on the 'careful compilation of the time spent and reasonable hourly compensation of each attorney . . . involved in the presentation of the case.' [Citation.] [The California Supreme Court] expressly approved the use of prevailing hourly rates as a basis for the lodestar… In referring to 'reasonable' compensation, [the Court] indicated that trial courts must carefully review attorney documentation of hours expended; 'padding' in the form of inefficient or duplicative efforts is not subject to compensation. (*Id.* at pp. 1131-1132.) When determining a reasonable attorneys' fees award using the lodestar method, the court begins by deciding the reasonable hours the prevailing party's attorney spent on the case and multiplies that number by the reasonable hourly compensation of each attorney. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 998; *see also Environmental Protection Info. Ctr. v. California Dep't of Forestry & Fire Protection* (2010) 190 Cal.App.4th 217, 248.) "The reasonable hourly rate is that prevailing in the community for similar work." (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095.) The court may rely on personal knowledge and familiarity with the legal market in setting a reasonable hourly rate. (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009; *569 E. County Boulevard LLC v. Backcountry Against the Dump, Inc.* (2016) 6 Cal. App. 5th 426, 437.) The court then has the discretion to increase or decrease the lodestar figure by applying a positive or negative multiplier; "such an adjustment is commonly referred to as a 'fee enhancement' or 'multiplier.' [Citation.]" (*Mikhaeilpoor v. BMW of North America, LLC* (2020) 48 Cal.App.5th 240, 247 ("*Mikhaeilpoor*").)

"'[T]he lodestar method vests the trial court with the discretion to decide which of the hours expended by the attorneys were "reasonably spent" on the litigation' [Citation] and to determine the hourly rates that should be used in the lodestar calculus. [Citation.]" (*Mikhaeilpoor, supra*, 48 Cal.App.5th at pp. 246-247.) "The experienced trial judge is the best judge of the value of professional services rendered in his court . . . . [Citation.]" (*Ketchum*, *supra*, 24 Cal.4th at p. 1132.)

Entitlement to Fees

Here, it is undisputed Plaintiffs are prevailing parties over Defendants ISC and Carson and that Plaintiffs are entitled to recover attorney's fees pursuant to Labor Code sections 218.5, 1194, and 2802.

Lodestar Calculation

Plaintiffs submit time records showing 1416.1 hours of attorney work totaling $1,047,006.00 in attorney's fees. (Cordes Decl. ¶ 50, Ex. A.)

1. **Reasonable Rates**

"The reasonable hourly rate is that prevailing in the community for similar work." (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095.) The court may rely on personal knowledge and familiarity with the legal market in setting a reasonable hourly rate. (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009; *569 E. County Boulevard LLC v. Backcountry Against the Dump, Inc.* (2016) 6 Cal. App. 5th 426, 437.)

Plaintiffs' counsel billed at the following rates:

Timekeeper (bar admission)	2022	2023	2024	2025
Attorney Caro (2017)	$575	$600	$625	$650
Attorney Cordes (1994)	$775	$800	$825	$850

Defendant does not challenge the rates. Therefore, the court finds these rates to be reasonable.

2. **Reasonable Hours**

Defendant identifies several billing entries as excessive, duplicative, and/or unreasonable. (*See* Wirth Decl., Ex. F.)

		- $2,327.00 in fees related to the unsuccessful claims against Defendants John Stuart and Joanne Carson. Having considered the matter, the court cuts $1,471.00, including the $388.00 (0.5 hrs) billed on 02/18/2022 to review Joanne Carson and John Stuart's discovery responses, $620.00 (0.8 hrs) billed 11/15/2021 relating to Joanne Carson's motion to quash service of summons, $465.00 (0.6 hrs) of the $854.00 billed on 05/10/2022, 06/30/2022, and 08/01/2022 for communications relating in part to Defendant John Stuart. - $9,799.00 (15.9 hours) for the unsuccessful writ of attachment. Having considered the matter, the court cuts these fees as not reasonably necessary to the litigation. Plaintiffs' application for writ of attachment was denied without prejudice. Plaintiffs chose not to file a renewed application and does not explain their decision, which tends to show the attachment was not reasonably necessary; and seasoned attorneys charging $575-$774 should be expected to exercise better judgment from the get-go. - $7,868.00 (12.7 hours) in fees for the unsuccessful 128.7 sanctions motion challenging Defendants' demurrer. Having considered the matter, the court cuts these fees as not reasonably necessary to the litigation. A sanctions motion challenging a first-time demurrer at the beginning of the case appears gratuitous, especially given the court (Judge Hesseltine) sustained the demurrer as to 9 of the 11 causes of action. (See Wirth Decl., Ex. G.) - $43,090 in fees billed by Attorney Cordes for administrative tasks and excessive time spent to review documents, many of them administrative documents. Having considered the matter, the court cuts the following 34.9 attorney hours ($26,424.00 in fees) as unreasonable, excessive, and/or duplicative: o $77.50 (0.1 hrs) of the $155.00 billed 06/08/2021 to review case assignment (excessive) o $77.50 (0.1 hrs) of the $155.00 billed 06/09/2021 to review notice of CMC (excessive) o $155.00 (0.2 hrs) of the $310.00 billed 01/11/2022 in part to review Notice of jury trial and MSC notice (excessive) o $77.50 (0.1 hrs) of the $155.00 billed 01/12/2022 to review change of address (excessive) o $77.50 (0.1 hrs) of the $155.00 billed 01/14/2022 to review peremptory challenge and case reassignment

			(excessive) o $77.50 (0.1 hrs) of the $155.00 billed 02/09/2022 to review John Carson's amended notice of change of address (excessive) o $310.00 (0.4 hrs) of the $465.00 billed 02/17/2022 for among other things, "Monday Staff Meetings." (administrative) o $620.00 (0.8 hrs) of the $930 billed on 05/05/2022-05/06/2022 for "Multiple emails re group Zoom" (excessive) o $465.00 (0.6 hrs) of the $931.00 billed 05/23/2022-05/26/2022 for multiple emails re "No Zoom today." (administrative and/or excessive) o $775.00 (1.0 hr) of the $1007.50 billed between 06/07/2022-06/09/2022 relating to "Emails Re Irvine Sensors Zoom Thursday 4 PM" (administrative/excessive) o $775.00 (1.0 hr) of the $890.00 billed 01/14/2022 re emails regarding settlement offer (excessive) o $155.00 (0.2 hrs) billed 07/28/2022 for "Multiple emails re Todays call" (excessive) o $77.50 (0.1 hrs) of the $155.00 billed 12/19/202 to review Notice of Case Reassignment (duplicative and excessive) o $155.00 (0.2 hrs) of the $388.00 billed 12/20/2022 to review Notice of Trial Continuance, Minute Order re Ex Parte, and email clients re same (excessive) o $155.00 (0.2 hrs) billed 12/21/2022 to review m&c correspondence (duplicative) o $240.00 (0.4 hrs) of the $320.00 billed 02/07/2023 to review discovery responses (duplicative) o $80.00 (0.1 hrs) of the $160.00 billed 04/25/2023 to review Notice of Ruling (excessive) o $60.00 (0.1 hrs) of the $120.00 billed 06/07/2023 to review email re joinder (excessive); o $600.00 (1 hr) of the $1540.00 billed 06/13/2023 to review demurrer and prepare notes for opp. (excessive and duplicative) o $80.00 (0.1 hrs) of the $160.00 billed 07/06/2023 to review email from opposing counsel (excessive) o $60.00 (0.1 hrs) of the $120.00 billed 08/22/2023 to review email from opp counsel (excessive) o $160.00 (0.2 hrs) of the $650.00 billed 11/06/2023 to review tentative ruling (duplicative) o $80.00 (0.1 hrs) of the $160.00 billed 11/06/2023 to review Notice of Trial Continuance (excessive) o $60.00 (0.1 hrs) of the $120.00 billed 11/16/2023 to review Notice of Ruling (excessive)

		\$80.00 (0.1 hrs) of the \$160.00 billed 11/16/2023 to review Notice of Ruling (excessive) \$82.50 (0.1 hrs) of the \$165.00 billed 02/23/2024 to review discov requests (duplicative and/or excessive) \$82.50 (0.1 hrs) of \$165.00 billed 02/27/2024 to review email from opp counsel (excessive) \$248.00 (0.3 hrs) billed 03/15/2024 to review m&c correspondence (duplicative) \$125.00 (0.2 hrs) billed 03/19/2024 to review demand for expert witness exchange (duplicative work) \$165.00 (0.2 hrs) billed 03/22/2024 to review depo notice (duplicative work) \$248.00 (0.3 hrs) billed 04/10/2024 to review depo notice (duplicative and excessive) \$495.00 (0.6) hrs billed 04/24/2024 to review letter (excessive and duplicative) \$330.00 (0.4 hrs) of the \$2,310.00 billed 05/03/2024 to communicate with expert (excessive) \$188.00 (0.3 hrs) of the \$625.00 billed 05/07/2024 to review NTA (duplicative) \$165.00 (0.2 hrs) of the \$330 billed 05/15/2024 re emails re rescheduled deposition (excessive) \$62.50 (0.1 hrs) of the \$125 billed 07/18/2024 to review subpoena (excessive) \$82.50 (0.1 hrs) of the \$165 billed 08/16/2024 to review Notice of Continuance \$82.50 (0.1 hrs) of the \$248 billed 08/26/2024 to review TR \$82.50 (0.1 hrs) of the \$165 billed 09/02/2024 to review Notice of Change of Address \$130 (0.2 hrs) of the \$188 billed 10/21/2024 to review Notice of Ruling \$82.50 (0.1 hrs) of the \$165 billed 10/21/2024 to review Notice of Ruling \$82.50 (0.1 hrs) of the \$165 billed 12/23/2024 to review Notice of Case Reassignment \$85 (0.1 hrs) of the \$170 billed 02/10/2025 to review Notice of Trial Continuance \$5950 (7 hrs) and \$3575 (5.5 hrs) of the 48.3 hours billed on the fees motion (excessive and duplicative) \$2600 (4 hrs) and \$5950 (7 hrs) of the \$15,000 anticipated work on the reply (excessive and duplicative) In sum, the court cuts \$46,418.00 in requested fees, representing 65.4 attorney hours, and awards \$1,000,588.00 in attorney's fees. This amount and these hours appear reasonable for an employment matter

involving multiple plaintiffs, pending for five years, and being litigated through trial.

3. **Multiplier**

In determining whether to apply a multiplier, the court considers a variety of factors that the court did not consider when determining the lodestar figure, such as the novelty and difficulty of the issues presented, the skill displayed in presenting them, the extent to which the nature of the litigation precluded other employment by the attorneys, and the contingent nature of the fee award. (*See Ketchum, supra,* 24 Cal.4th at pp. 1132-1134; *Northwest Energetic Servs., LLC v. California Franchise Tax Bd.* (2008) 159 Cal.App.4th 841, 879-82; *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 154.) The court is not required to impose a multiplier; the decision is discretionary. (*Galbiso*, 167 Cal.App.4th at 1089; *Nichols v. City of Taft* (2007) 155 Cal.App.4th 1233, 1241.) The contingent nature of fee award is relevant where it is "uncertain that the attorneys would be entitled to an award of fees even if they prevailed." (*Weeks v Baker & McKenzie* (1998) 63 Cal.App.4th 1128, 1175.) On the other hand, contingent nature is not generally sufficient where contingency is limited to whether or not the party will prevail. (*Id.*, at pp. 1174-1175.) A multiplier is more typically seen in cases where counsel undertakes a difficult case in the public interest, not a personal injury case brought by a single plaintiff to recover her own economic damages. (*Id.*, at p. 1174.)

Here, the *Ketchum* factors do not weigh in favor of a multiplier in this case. Plaintiffs do not show the employment and wage issues presented to be novel or difficult, the contingent nature is limited to whether the plaintiffs will prevail; and counsel did not undertake a complex case in the public interest.

Costs

Plaintiffs request an award of $2,359.86 for lodging and travel, which Plaintiffs contend "were not and could not be sought in Plaintiffs' separate-filed Bill of Costs application." Plaintiff argues that attorney travel and lodging expenses are not enumerated among the items allowable as costs under Code of Civil Procedure section 1033.5(a) and therefore are not governed by California Rules of Court, Rule 3.1700.

Prejudgment costs must be claimed and contested in accordance with the rules adopted by the Judicial Council or are deemed waived. (Code Civ. Proc., § 1034(a); *Hydratec, Inc. v. Sun Valley 260*

		Orchard & Vineyard Co. (1990) 223 Cal.App.3d 924, 929; *see also* CJER, Cal. Judges Benchbook Civ. Proc. Trial § 16.11.) The deadline of Rule 3.1700 does not apply to items "not allowable as costs" pursuant to section 1033.5(b), such as expert witness fees not ordered by the court. (*See, e.g., Anthony v. City of Los Angeles* (2008) 166 Cal.App.4th 1011, 1015.) The court in *Anthony v. City of Los Angeles* held that: "rule 3.1700 applies only to the items 'allowable as costs' that are listed in subdivision (a) of section 1033.5—that is, those cost items to which a party is entitled 'as a matter of right.' (§ 1032, subd. (b).)" (*Anthony v. City of Los Angeles* (2008) 166 Cal.App.4th 1011, 1015.) In that case, the prevailing plaintiff sought to recover expert witness fees, which the court noted are "specifically identified as 'not allowable as costs, except when expressly authorized by law.'" (*Id.* at p. 1015.)The *Anthony* court concluded that because the court clerk could not "immediately enter the costs on the judgment" without a court determination, a party's request for FEHA expert witness fees are not subject to the deadline of Rule 3.1700. (*Id.* at p. 1016.) The court noted that in addition to the discretionary nature of the cost award, " the Legislature apparently 'associates the recovery of expert witness fees by the prevailing party in a FEHA case with the recovery of attorney's fees.'" (*Id.* at p. 1016.) Prevailing employees such as Plaintiffs are entitled "as a matter of right" to fees and costs pursuant to Code of Civil Procedure Section 1033.5(a)(16) and the relevant Labor Code sections. (*See* Code Civ. Proc., § 1033.5(a)(16) ["Any other item that is required to be awarded to the prevailing party pursuant to statute as an incident to prevailing in the action at trial or on appeal"]; Lab. Code, § 218.5 [providing in relevant part: "the court **shall** award reasonable attorney's fees and costs to the prevailing party if any party to the action requests attorney's fees and costs upon the initiation of the action"); Lab. Code, § 1194 [providing in relevant part that "any employee receiving less than the legal minimum wage or the legal overtime compensation applicable to the employee is **entitled to recover** in a civil action the unpaid balance of the full amount of this minimum wage or overtime compensation, including interest thereon, reasonable attorney's fees, and costs of suit]; Lab. Code, § 2802 [providing in relevant part that: "An employer **shall** indemnify his or her employee for all necessary expenditures or losses incurred by the employee in direct consequence of the discharge of his or her duties," which "shall include all reasonable costs, including, but not limited to, attorney's fees incurred by the employee enforcing the rights granted by this section"].)

		Plaintiffs cite no authority providing that travel and lodging costs—which would otherwise fall within the catchall of Code of Civil Procedure section 1033.5(c)(4)—are *not* subject to the Rule 3.1700 deadlines. Plaintiffs did not timely request travel and lodging costs in their Memorandum of Costs. Therefore, the court denies as untimely Plaintiff's request for travel and lodging costs. Plaintiffs to give notice.
8	Cemex Construction Materials Pacific, LLC vs. Gunner Concrete, Inc.	**TENTATIVE RULING:** **Motion to Seal** Plaintiff Cemex Construction Materials Pacific, LLC moves to seal the unredacted version of Exhibit A to Cemex's Complaint filed January 17, 2024, a credit application and agreement that contains the social security numbers of individual Defendants Douglas Scott Milne II and Geneva Milne. For the following reasons, the motion is GRANTED. To seal a record, the moving party must file a motion for such relief, along with a memorandum and a declaration containing facts sufficient to justify the sealing. (CRC 2.551(b)(1).) The motion must be served on all parties, and unless the court orders otherwise, a complete copy of the document must be served on all other parties that already possess copies, along with the redacted version. (CRC 2.551(b)(2).) To grant a motion to seal, the court must expressly find that: 1. an overriding interest exists that overcomes the right of public access to the record; 2. the overriding interest supports sealing the records; 3. a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; 4. the proposed sealing is narrowly tailored; and 5. no less restrictive means exist to achieve the overriding interest. (CRC 2.550(d); *McGuan v. Endovascular Technologies, Inc*. (2010) 182 Cal. App. 4th 974, 988.)

		These findings embody constitutional requirements for a request to seal court records, protecting the First Amendment right of public access to civil trials. (See *NBC Subsidiary (KNBC–TV), Inc. v. Superior Court* (1999) 20 Cal. 4th 1178, 1217–18; *Huffy Corp. v. Superior Court* (2003) 112 Cal. App. 4th 97, 104; *People v. Jackson* (2005) 128 Cal. App. 4th 1009, 1026–27 (finding that in determining whether to seal records, courts must weigh constitutional requirements for disclosure against such factors as privacy rights).) A sealing order must also: (a) specifically state facts supporting the above findings; and (b) be narrowly tailored (*i.e.*, it should direct sealing of only those documents and pages that contain material that needs to be placed under seal; all other portions of each document or page must remain in the public file). (CRC 2.550(e)(1); Weil & Brown, Cal. Prac. Guide Civ. Pro. Before Trial (Rutter 2017) ¶ 9:418.1.) Examples of documents that may qualify to be sealed are: • Documents containing trade secrets. (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 300 [*dictum*]; *McGuan v. Endovascular Tech., Inc.* (2010) 182 Cal.App.4th 974, 988 [dealing with quality control records and complaint handling procedures].) • Documents containing material protected by a privilege. (*Huffy Corp. v. Superior Court* (2003) 112 Cal.App.4th 97, 108 [addressing attorney-client privilege (dictum)].) • Confidential settlement agreement. (*Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1283 [dictum].) But the parties' agreement to keep materials confidential (such as in a stipulated protective order or other agreement) is never enough, standing alone, to support sealing. (CRC 2.551(a).) • Documents containing personal information subject to a right of privacy. (In re M.T. (2024) 106 Cal.App.5th 322.) (Weil & Brown, Cal. Prac. Guide: Civ. Pro. Before Trial ¶ 9:418.5-9.) Here, Plaintiff moves to seal the unredacted version of Exhibit A to Cemex's Complaint filed January 17, 2024, a credit application and agreement that contains the social security numbers of individual Defendants Douglas Scott Milne II and Geneva Milne. Defendants' privacy interest in their social security numbers overcomes the right of public access to the records, and that interest

		supports sealing the records. There is a substantial probability that the overriding interest will be prejudiced if the documents are not sealed; the proposed sealing order is narrowly tailored; and there are no less restrictive means to achieve the overriding interest. Other than the Court, no persons or parties are authorized to inspect the sealed record. The sealed material may not be disclosed in anything that is subsequently publicly filed. (Cal. Rules of Court, rule 2.551(e).) Plaintiff is ordered to give notice.
9	Vega vs. General Motors LLC	**TENTATIVE RULING:** **<u>Motion for Attorney's Fees</u>** Plaintiff Angelica Vega moves for an award of reasonable attorney's fees. For the following reasons, the motion is CONTINUED to July 8, 2026, at 9:00 a.m. in this Department. A request for attorney's fees filed prior to the rendition of judgment is premature, as there can be no prevailing party until there is a final judgment or dismissal, and courts generally cannot make interim attorney fee awards unless authorized by statute. (*See Yuba Cypress Housing Partners, Ltd. v. Area Developers* (2002) 98 Cal.App.4th 1077, 1086; *Kaura v. Stabilis Fund II, LLC* (2018) 24 Cal.App.5th 420, 436; *Bell v. Farmers Ins. Exchange* (2001) 87 Cal.App.4th 805, 831 [holding that even when not explicitly barred, interim awards are not allowed in absence of clear expression of legislative intent].) Here, the court record reflects no entry of judgment or dismissal. Should Plaintiff file and serve a Request for Dismissal of this matter, Plaintiff's motion for attorney's fees (ROA # 43) and Memorandum of Costs (ROA # 41) SHALL be deemed filed and served on the date of entry of dismissal. Plaintiff to give notice.
10	Zancanaro vs. Moore	**TENTATIVE RULING:** **<u>Motion for Leave to Amend Complaint</u>** Plaintiff Gina Zancanaro moves to amend the complaint to file a proposed second amended complaint. The motion is CONTINUED to July 8, 2026, at 9:00 a.m. in this Department.

		California Rules of Court, rule 3.1324(a), provides in relevant part that a motion to amend pleading must include a copy of the proposed amended pleading, serially numbered to differentiate it from previous pleadings. (Cal. Rules of Ct., Rule 3.1324(a).) Plaintiff Zancanaro's motion does not attach a copy of the proposed second amended complaint. (*See* ROA # 19.) Attorney Sabbagh purports to attach a copy of the proposed amended complaint as Exhibit 2 to her Declaration (*see* Sabbagh Decl. ¶ 8), but the attached exhibit is a copy of the operative FAC. No later than nine (9) court days before the continued hearing, Plaintiff shall file and (if applicable) serve a copy of the proposed Second Amended Complaint. Plaintiff is ordered to give notice.
11	Stark 2, LLC vs. Barton	**TENTATIVE RULING:** For the reasons set forth below, Defendant Austin Barton's Anti-SLAPP motion to strike Plaintiff Stark 2, LLC's Complaint, or portions thereof, pursuant to Code Civ. Proc., § 425.16, is GRANTED in part and DENIED in part. Defendant's request for judicial notice is GRANTED. (Evid. Code § 452, subd. (d)). Plaintiff's objections to the declarations of Austin Barton and counsel Briana Kim are OVERRULED. Plaintiff's request for leave to file a motion for limited discovery is DENIED. Code Civ. Proc. § 425.16, subd. (g) provides that the court, "<u>on noticed motion</u> and for good cause shown, may order that specified discovery be conducted notwithstanding this subdivision." Plaintiff did not file a noticed motion. Therefore, the court denies this request as it is improper. **<u>Anti-SLAPP motion to strike</u>** Under the anti-SLAPP statute, "A cause of action against a person arising from any act of that person in furtherance of the person's right of petition or free speech under the United States Constitution or the California Constitution in connection with a public issue shall be subject to a special motion to strike, unless the court determines that the plaintiff has established that there is a probability that the plaintiff

		will prevail on the claim." (Code Civ. Proc., § 425.16, subd. (b)(1); *Olson v. Doe* (2022) 12 Cal.5th 669, 678) "The moving party 'must establish that the challenged claim arises from activity protected by section 425.16'; if the moving party does so, 'the burden shifts' to the nonmoving party 'to demonstrate the merit of the claim by establishing a probability of success.' [Citation.]" (*Olson, supra,* 12 Cal.5th at p. 678; *Wilson v. Cable News Network, Inc*. (2019) 7 Cal.5th 871, 884.) "To succeed in opposing a special motion to strike, the nonmoving party must 'demonstrate both that the claim is legally sufficient and that there is sufficient evidence to establish a prima facie case with respect to the claim.' [Citation.] '[C]laims with the requisite minimal merit may proceed.' [Citation.] The moving party prevails by 'defeat[ing]' the 'claim as a matter of law' [citation] in 'a summary-judgment-like procedure' [citation]." (*Olson, supra*, 12 Cal.5th at p. 679; *Wilson, supra*, 7 Cal.5th at 884.) "If the plaintiff fails to meet that burden, the court will strike the claim." (*Wilson, supra*, 7 Cal.5th at p. 884.) **<u>Protected Conduct</u>** "At the first step, the moving defendant bears the burden of identifying all allegations of protected activity, and the claims for relief supported by them. When relief is sought based on allegations of both protected and unprotected activity, the unprotected activity is disregarded at this stage. If the court determines that relief is sought based on allegations arising from activity protected by the statute, the second step is reached. There, the burden shifts to the plaintiff to demonstrate that each challenged claim based on protected activity is legally sufficient and factually substantiated." (*Baral v. Schnitt* (2016) 1 Cal.5th 376, 396). At this first step, courts are to "consider the elements of the challenged claim and what actions by the defendant supply those elements and consequently form the basis for liability." (*Bonni v. St. Joseph Health System* (2021) 11 Cal.5th 995, 1009). "The defendant's burden is to identify what acts each challenged claim rests on and to show how those acts are protected under a statutorily defined category of protected activity." (*Id*.) "If a cause of action contains multiple claims and a moving party fails to identify how the speech or conduct underlying some of those claims is protected activity, it will not carry its first-step burden as to those claims … [t]he nonmovant is not faced with the burden of having to make the moving party's case for it." (*Bonni, supra* at 1011; accord, *Park v.*

		Nazari (2023) 93 Cal.App.5th 1099, 1108, citing *Bonni, supra,* 11 Cal.5th 995 at 1011.) There are four categories of protected speech for an anti-SLAPP motion (Code Civ. Proc. § 425.16(e)). Defendant contends that the conduct alleged in the complaint is protected under Code Civ. Proc. § 425.16, subd. (e)(2), which provides: "(e) As used in this section, 'act in furtherance of a person's right of petition or free speech under the United States or California Constitution in connection with a public issue" includes: (1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law … .'" "The anti-SLAPP protection for petitioning activities applies not only to the filing of lawsuits, but extends to conduct that relates to such litigation, including statements made in connection with or in preparation of litigation … Indeed, courts have adopted 'a fairly expansive view of what constitutes litigation-related activities within the scope of section 425.16." (*Kolar v. Donahue, McIntosh & Hammerton* (2006) 145 Cal. App.4th 1532, 1537 [Citations omitted].) "[J]ust as communications preparatory to or in anticipation of the bringing of an action or other official proceeding are within the protection of the litigation privilege of Civil Code section 47, subdivision (b) [citation], ... such statements are equally entitled to the benefits of section 425.16." (*Briggs v. Eden Council for Hope & Opportunity* (1999) 19 Cal.4th 1106, 1115 [internal citations omitted]). "[A] statement is 'in connection with' litigation under section 425.16, subdivision (e)(2) if it relates to the substantive issues in the litigation and is directed to persons having some interest in the litigation." (*Neville v. Chudacoff* (2008) 160 Cal.App.4th 1255, 1266). Furthermore, Code Civ. Proc. § 425.16, subd. (e)(2) "has been held to protect statements to persons who are not parties or potential parties to litigation, provided such statements are made 'in connection with' pending or anticipated litigation." (*Summerfield v. Randolph* (2011) 201 Cal.App.4th 127, 136).

		Defendant requests judicial notice of a class action and Private Attorney General Act (PAGA) lawsuit against Stark 2, captioned *Refe v. Stark 2 LLC, et al*., L.A.S.C. case no. 22STCV29855, which was filed on 9/13/22. Defendant established that Defendant Barton is a class member of this class action. (See RJN, Ex. F [definition of class members]). The causes of action in the *Refe* class action include the following: Failure to Pay Overtime Compensation; Failure to Provide Meal Periods; Failure to Authorize and Permit Rest Periods; Failure to Pay Minimum and Regular Rate Wages; Failure to Timely Pay Final Wages at Termination; Failure to Provide Accurate Itemized Wage Statements; Failure to Reimburse Business Expenses; Unfair Business Practices and Civil Penalties Under PAGA. (RJN, Ex. A). Defendant contends that the following allegations in the Complaint concern protective activity as they constitute oral statements made in connection with the issues in the *Refe* class action: Defendant telling coaches and students that Plaintiff did not treat its people right and that management failed to appreciate employees, creating division and prompting additional resignations (Compl., ¶ 9); Defendant repeatedly voiced grievances regarding compensation, bonuses, and management to other employees, students and clients of Plaintiff, including making claims that Plaintiff did not appreciate its people and unfairly reduced Defendant's pay; (Compl., ¶ 13); and each first paragraph under each cause of action which incorporates these allegations into each cause of action. (Compl., ¶¶ 14, 19, 24, 28, and 31). With regards to Plaintiff's grievances about pay and management, Defendant Barton submits his declaration in support of his argument that these statements were made in connection with the issues in the *Refe* class action: "During my employment with Stark, I did not receive lunch breaks and was not paid an extra hour of pay for each day I was not able to take an uninterrupted and/or timely lunch break." (Decl. of Barton, ¶ 4). "During my employment with Stark, due to my workload, I was also prevented from taking any rest breaks during my shifts. Stark never paid me extra hour of pay for each day I was not able to take a rest break." (Decl. of Barton, ¶ 5). "Even while I was physically on Stark's property completing work tasks throughout the workday, Stark instructed me to only clock in when I was directly assisting clients in their scheduled sessions. As a result, I started noticing that my hours were short on my paystubs and that I was not being paid for all of my work, nor was I being paid overtime correctly." (Decl. of Barton, ¶ 6). "I complained multiple times to my manager, Brian

		Molina ('Molina'), about not getting paid for all of my work and not being getting my breaks, but my complaints fell on deaf ears." (Decl. of Barton, ¶ 7). "Towards the end of my employment, Stark fired multiple trainers. Because I had been expressing concerns about not being paid properly, I was worried that I would be the next trainer to be fired. Around this time, Stark changed their payment structure which upset clients as well as me and the other trainers. While working, I would at times discuss my frustrations regarding my pay with other coaches and trainers … ." (Decl. of Barton, ¶ 8). In support of his contention that his complaints are protected, Defendant cites to *Contemporary Services Corp. v. Staff Pro Inc*. (2007) 152 Cal.App.4th 1043, where the court held that the Defendant's president's email to customers relating to the underlying litigation was considered protected conduct under Section 425.16, subd. (e)(2): "Meredith's e-mail, on the other hand, constitutes a litigation update, which describes the parties' contentions and court rulings, and is directed to individuals who had some involvement in the parties' litigation." (*Id.* at 1055). The court finds that Defendant's statements/grievances regarding pay, compensation and management relate to the subject matter of the *Refe* class action. However, the court agrees with Plaintiff that the following alleged conduct in the Complaint is <u>not</u> protected conduct: While still employed by Plaintiff and using company time and resources, Defendant began soliciting Plaintiff's students and clients to follow him to a competing business. Specifically, on or about July 2, 2024, Defendant discussed his planned departure with students in, on and about Plaintiff's facility, leading to the departure of multiple clients, including Gilbert Simas and his family. (Compl., ¶ 7); Defendant made false statements to staff members that he had been terminated by Plaintiff, when in fact he voluntarily resigned. (Compl., ¶ 8); Defendant breached the contract by using company time to solicit Plaintiff's clients and employees (Compl., ¶ 17); Defendant knew of Plaintiffs' contracts and intentionally and unjustifiably interfered with them by soliciting clients and employees to leave Plaintiff and join him elsewhere; Defendant's conduct, including solicitation of clients during employment, misuse of confidential information, and dissemination of false statements [that Defendant was terminated], constitutes unlawful, unfair, and fraudulent business practices (Compl., ¶ 29); and Defendant misappropriated such trade secrets by using and disclosing them to solicit Plaintiff's clients and benefit a competing enterprise. (Compl., ¶ 33).

		The court must now determine which cause of action is actually based on protected activity. Defendant contends that all five causes of action are based on the protected activity because each cause of action "incorporates" all preceding allegations by reference. However, "[a]ssertions that are 'merely incidental' or 'collateral' are not subject to section 425.16." (*Baral, supra,* 1 Cal.5th at 394). "Allegations of protected activity that merely provide context, without supporting a claim for recovery, cannot be stricken under the anti-SLAPP statute." (*Id.*). **<u>1st Cause of Action for Breach of Contract</u>** The court finds that this cause of action is based on both protected conduct and unprotected conduct based on the allegations in the complaint: "Defendant breached the contract by using company time to solicit Plaintiff's clients and employees, and by making disparaging statements harming Plaintiff's business." (Compl., ¶ 17). Therefore, the court moves on to the second step of the analysis, where "the burden shifts to the plaintiff to demonstrate that each challenged claim based on protected activity is legally sufficient and factually substantiated." (*Baral, supra,* 1 Cal.5th at 396). Defendant contends that each cause of action fails because Defendant's comments are cloaked with Civ. Code § 47, subd. (b)'s litigation privilege. Subdivision (b) of Section 47 bars a civil action for damages for communications made "[i]n any (1) legislative proceeding, (2) judicial proceeding, (3) in any other official proceeding authorized by law, or (4) in the initiation or course of any other proceeding authorized by law . . . ." This privilege applies to any communication and to all torts except malicious prosecution, and applies to any publication permitted by law in the course of a judicial proceeding to achieve the objects of the litigation, even if the publication is made outside the courtroom and no function or its officers is involved. (*Silberg v. Anderson* (1990) 50 Cal.3d 205, 212.) "The privilege is based on '[t]he importance of providing to citizens free and open access to governmental agencies for the reporting of suspected illegal activity.'" (*Wise v. Thrifty Payless, Inc.* (2000) 83 Cal.App.4th 1296, 1303 [internal citations omitted]). The privilege is "absolute.' (*Hagberg v. California Federal Bank* (2004) 32 Cal.4th 350, 360.) In *Silberg v. Anderson* (1990) 50 Cal.3d 205, the California Supreme Court set forth the four elements must be met for conduct to fall

within the immunity of section 47(b). The allegedly wrongful communication must be:

> (1) made in a judicial or quasi-judicial proceedings;
> (2) by litigants or other participants authorized by law;
> (3) to achieve the objectives of the [proceeding]; and
> (4) [have] some connection or logical relation to the action."

(*Id.* at p. 212.) "To effectuate its vital purposes, the litigation privilege is held to be absolute in nature." (*Id.* at p. 215.) It would be irrelevant whether Defendants' communication were malicious or even criminal in the underlying actions. (*Id.*) The privilege "is not limited to statements made during a trial or other proceedings, but may extend to steps taken prior thereto, or afterwards." (*Action Apartment Assn., Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1241).

"A plaintiff cannot establish a probability of prevailing if the litigation privilege precludes the defendant's liability on the claim." (*MMM Holdings, Inc. v. Reich* (2018) 21 Cal.App.5th 167, 183).

Plaintiff contends that the alleged conduct was not a court filing, testimony, communication with counsel, or litigation step in *Refe*, but rather client solicitation, diversion, misuse of confidential information, and false termination statements that were all private commercial acts.

" 'When evaluating an affirmative defense in connection with the second prong of the analysis of an anti-SLAPP motion, the court, following the summary-judgment-like rubric, generally should consider whether the defendant's evidence in support of an affirmative defense is sufficient, and if so, whether the plaintiff has introduced contrary evidence, which, if accepted, would negate the defense.' [Citations.] As the California Supreme Court noted in addressing the litigation privilege as a defense to civil extortion and other claims in the context of anti-SLAPP litigation, '[t]he litigation privilege is also relevant to the second step in the anti-SLAPP analysis in that it may present a substantive defense a plaintiff must overcome to demonstrate a probability of prevailing.' [Citation.]" (*Paredes v. Credit Consulting Services, Inc.* (2022) 82 Cal.App.5th 410, 438.)

With regards to Defendant's statements,"[t]he communication must 'function as a necessary or useful step in the litigation process and must serve its purposes.' [Citation.] The test 'cannot be satisfied by communications which only serve interests that happen to parallel or

		complement a party's interests in the litigation,' including vindication in the court of public opinion. [Citation.] Instead, the 'connection or logical relation' prong of the test 'can be satisfied only by communications which function intrinsically, and apart from any consideration of the speaker's intent, to advance a litigant's case.'" (*City of Costa Mesa v. D'Alessio Investments, LLC* (2013) 214 Cal.App.4th 358, 382). Defendant presented evidence that there was a class action against Plaintiff over various wage and hour claims, which commenced in 2022 and was not settled until 1/21/26, when the trial court granted the motion approving the settlement. (RJN, exs. A and J). Defendant was employed by Plaintiff until June 2024. (Compl., ¶ 6). Plaintiff alleges that in the weeks preceding Defendant's resignation, Defendant voiced his grievances about compensation, bonuses, and management to other employees, students and clients of Plaintiff, including making claims that Plaintiff did not appreciate its people and unfairly reduced Defendant's pay. (Compl., ¶ 13). At the time he allegedly made these comments (weeks before his resignation), litigation against Plaintiff was ongoing. Defendant presented evidence that he was a class member/participant, as were his coworkers. He presented evidence that his grievances included not being paid for all hours worked, not being paid for overtime correctly, and not getting breaks. (Decl. of Barton, ¶¶ 4-7). He presented evidence that he made statements about his frustration and grievances over his pay to coworkers, whom he believed felt similarly. Because Defendant was a class member in an employment class action suit, and his discussions with other coworkers related to compensation and management, Defendant has presented sufficient evidence in support of the litigation privilege with regards to his comments to other coworkers. However, Defendant does not present evidence in support of the assertion that such comments to <u>clients</u> function as a necessary or useful step in the litigation process. Defendant did not provide any evidence suggesting that any of his discussions with clients were a part of investigation or otherwise necessary to the litigation. Accordingly, the litigation privilege does not apply to such conduct. Therefore, the next inquiry is whether Plaintiff met its burden of establishing that each challenged claim based on protected activity is legally sufficient and factually substantiated.

The elements for breach of contract are as follows: (1) the existence of the contract, (2) plaintiffs' performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821).

Plaintiff provides a copy of Employment Confidentiality and Inventions Agreement between Plaintiff and Defendant. (Decl. of Vande Hei, ¶¶ 4-5 & Ex. A.) Plaintiff also provides evidence that it treats its client information as confidential. (Decl. of Vande Hei, ¶ 6).

Mr. Vande Hei also declares: "Based on my review of those records, Stark had active client and/or student relationships with Gilbert Simas and/or members of his family before Barton's separation, and one or more of those relationships ended or decreased around the time Barton left Stark. I understand additional discovery will be needed to determine the full scope of Barton's client facing communications and the complete amount of Stark's resulting damages." (Decl. of Vande Hei, ¶ 11).

However, none of this suggests breach of the Confidentiality provision. There is no evidence of breach. While Plaintiff argues that more discovery is needed, the court must reject this argument, as Plaintiff did not move for limited discovery pursuant to Code Civ. Proc. §425.16, subd. (g). Accordingly, Plaintiff failed to meet its burden.

2nd Cause of Action for Tortious Interference with Contract

The court finds that this cause of action is based on both protected conduct and unprotected conduct based on the allegations in the complaint: "Defendant knew of these contracts and intentionally and unjustifiably interfered with them by soliciting clients and employees to leave Plaintiff and join him elsewhere." (Compl., ¶ 21) "Defendant's interference caused actual breaches of those contracts, including the departure of students and associated financial losses." (Compl., ¶ 22). Paragraph 22 ties Plaintiff's losses to not just the departure of clients, but the departure of students as well. Plaintiff previously alleged that it lost students because of Defendant's disparaging statements, which included protected statements. (Compl., ¶ 13).

"To prevail on a cause of action for intentional interference with contractual relations, a plaintiff must plead and prove (1) the existence of a valid contract between the plaintiff and a third party; (2) the defendant's knowledge of that contract; (3) the defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” (*Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1148).

Once again, Plaintiff failed to present any evidence of Defendant’s actions whatsoever, other than that Defendant became disengaged from team operations and internal communications. (Decl. of Vande Hei, ¶ 9). Evidence that a client’s relationship ended “or decreased” after Defendant’s departure does not, alone, suggest intentional interference by Defendant. Accordingly, Plaintiff failed to meet this burden.

3rd Cause of Action for Defamation

The court finds that this cause of action is based on both protected conduct and unprotected conduct based on the allegations in the complaint: “Defendant made false statements to third parties, including staff and clients, asserting that he had been terminated by Plaintiff and that Plaintiff mistreated its employees.” (Compl., ¶ 25).

The elements of a defamation claim are (1) a publication that is (2) false, (3) defamatory, (4) unprivileged, and (5) has a natural tendency to injure or causes special damage. (*Taus v Loftus* (2007) 40 Cal.4th 683, 720).

Here, Plaintiff presents evidence that it did not terminate Defendant, and that he resigned. (Decl. of Molina, ¶¶ 3-5). However, Plaintiff failed to present any evidence suggesting that Defendant published a statement regarding his termination, or any other statement, in the first instance. Plaintiff’s evidence only suggests that Defendant became disengaged from team operations and internal communications, and Plaintiff’s relationship with Gilbert Simas and/or members of his family ended or decreased after Defendant’s departure. Accordingly, Plaintiff failed to meet its burden.

4th Cause of Action for Unfair Competition

The court finds that this cause of action is based on both protected conduct and unprotected conduct based on the allegations in the complaint: “Defendant’s conduct, including solicitation of clients during employment, misuse of confidential information, and dissemination of false statements, constitutes unlawful, unfair, and fraudulent business practices.” (Compl., ¶ 29).

Business and Professions Code section 17200 prohibits "unfair competition," which is defined to include "any unlawful, unfair or fraudulent business act or practice" and "unfair, deceptive, untrue or misleading advertising" and any act prohibited by Bus. & Prof. Code § 17500. Causes of actions based on "unlawful" conduct may be based on violations of other statutes. (*See Klein v. Chevron U.S.A., Inc*. (2012) 202 Cal.App.4th 1342, 1383.)

Once again, Plaintiff failed to present any evidence of any wrongful actions whatsoever. Accordingly, Plaintiff failed to meet this burden.

5th Cause of Action for Misappropriation of Trade Secrets

The court finds that this cause of action is not based on any protected conduct. While the fifth cause of action for misappropriation of trade secrets contains an allegation which reads "Plaintiff re-alleges and incorporates by reference each and every preceding paragraph", it is clear from this cause of action that it is based solely on unprotected conduct: "Plaintiff maintained confidential and proprietary client information and lists constituting trade secrets under Civil Code §3426.1(d)." (Compl., ¶ 32). "Defendant misappropriated such trade secrets by using and disclosing them to solicit Plaintiff's clients and benefit a competing enterprise." (Compl., ¶ 33). Therefore, Defendant has not established its burden as to the fifth cause of action.

Accordingly, the court strikes the following:

Paragraph 9 of the Complaint;
Paragraph 13 of the Complaint;
The following from Paragraph 17 of the Complaint: "and by making disparaging statements harming Plaintiff's business"; and
The following from Paragraph 25 of the Complaint: "and that Plaintiff mistreated its employees".

Finally, Defendant is granted attorneys' fees in the reduced amount of $10,215.

Defendant shall give notice.

12	Amaya vs. Kim	**TENTATIVE RULING:** **<u>Motion for Judgment on the Pleadings</u>** Defendant Evelyn Kim moves for judgment on the pleadings as to Plaintiffs Declan Matthew Doherty and Olivia Marie Doherty. For the following reasons, the motion is DENIED as moot. Pursuant to Code of Civil Procedure section 438, subdivision (b)(1), a party may move for judgment on the pleadings. A defendant may move for a judgment on the pleadings on the ground that the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc., § 438, subd. (c)(1)(B).) The grounds for a motion for judgment on the pleadings "shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice. Where the motion is based on a matter of which the court may take judicial notice pursuant to Section 452 or 453 of the Evidence Code, the matter shall be specified in the notice of motion, or in the supporting points and authorities, except as the court may otherwise permit." (Code Civ. Proc., § 438, subd. (d); see, *Burnett v. Chimney Sweep* (2004) 123 Cal.App.4th 1057, 1063 [Subject to certain exceptions, extrinsic evidence should not be considered in a motion for judgment on the pleadings.].) Defendant contends that Plaintiffs Declan Matthew Doherty and Olivia Marie Doherty are minors but no guardian ad litem has been appointed to represent either of these Plaintiffs as required by California Code of Civil Procedure section 372. Thus, Defendant concludes that these Plaintiffs lack capacity to maintain this lawsuit and judgment on the pleadings should be entered as to these Plaintiffs. However, on May 14, 2026, the Court entered two Orders appointing Plaintiff Angie Marie Amaya as the guardian ad litem for Plaintiff Olivia Marie Doherty and Plaintiff Declan Matthew Doherty. (ROAs 96, 97.) Thus, the motion is moot. Moving Defendant shall give notice of this ruling.
13	Nakano vs. Binder	**OFF CALENDAR**
14	Spears vs. The Moore Law Group	**OFF CALENDAR**

15	Chen vs. Orange County Sheriff's Department	**TENTATIVE RULING:** **<u>Petition for Writ of Mandate</u>** Petitioner Fenglin Chen petitions for a writ of mandate compelling Respondent Orange County Sheriff-Coroner Department to disclose public records concerning a particular case under the California Public Records Act ("CPRA"). For the following reasons, the petition is DENIED. According to the Declaration accompanying the original Petition filed on March 28, 2025, Petitioner was arrested by Orange County Sheriff's Department (OCSD) on August 4, 2022, and released on August 8, 2022. (ROA 5 at ¶ 2.) An incident report was generated and indexed as "DR 22-026128." (Ibid.; see also Declaration of Michele Alvarez, Ex. A) Over the next few years, Petitioner "submitted multiple lawful records requests to OCSD … under [the] CPRA, seeking confirmation of the current status of Case No. 22-026128, including whether it had been transferred, filed, rejected, or administratively closed." (ROA 5 at ¶ 3.) Petitioner did not provide a copy of his record requests with his Petition. (ROAs 2, 5.) However, the Petition states that Petitioner was seeking the following records: 1.On-Scene Law Enforcement Records (Body Camera Footage) All audio and video footage recorded by body-worn cameras of law enforcement officers who arrived at the scene on August 4, 2022. If body-worn cameras were not activated or the footage is unavailable for any reason, please provide a written explanation. 2. Notifications to Mahinur Yahup and Bo Chen Confirmation of whether Or notified Mahinur Yahu and Bo Chen after Petitioner lost consciousness and was transported to Providence St. Joseph Hospital Orange Emergency Department. Please specify the time, method, and content of the notification. Any written or verbal responses or feedback provided by Mahinur Yahup and Bo Chen. 3. Health Management Records During Custody All communications between OCSD and Providence St. Joseph Hospital Orange regarding Petitioner's condition during his unconscious state. A detailed account of the events leading to Petitioner's unconsciousness, including accident reports, medical assessments, and treatment records. 4. Comprehensive Investigative Report 4.1 The initial investigate report, including further inquiry records regarding Mahinur Yahup and Bo Chen.

4.2 Any analysis and conclusions drawn by law enforcement regarding discrepancies in the statements provided by Petitioner, Mahinur Yahup, and Bo Chen.

Petitioner then filed a First Amended Petition on June 9, 2025, which contains a significantly revised set of records requests:

1.Petitioner seeks only the following narrow, administrative information:
a. The current status of OCSD Case No. 22-026128 (closed / active / transferred);
b. If transferred, the date of transfer, the agency to which it was transferred, and any OCSD reference number.
2.Petitioner expressly does not seek body-worn camera footage, investigative reports, witness statements, or any other materials exempted by Government Code § 7923.600.

Before filing the Petition, Petitioner submitted a different request on January 29, 2024, seeking "to obtain the detailed narrative of entire case and all available information." (Alvarez Dec., ¶ 4 and Ex. A.) On February 8, 2024, Respondent provided Petitioner with a factual report disclosing information relating to his arrest. (Alvarez Dec., ¶ 4 and Ex. A.) On December 26, 2024, Respondent responded to Petitioner's additional records request and denied the request pursuant to Government Code section 7923.600, investigatory exemption. (Id. at ¶ 5 and Ex. B.)

Respondent received another request from Petitioner on January 31, 2025, requesting a variety of information, including the following: "1. Please provide a case status certification confirming the current status of case # 22-026128 in [OCSD's] department's database. 2. If the case is still marked as 'open' or 'under investigation' in [OCSD's] system, please provide a written explanation detailing why the case has not been officially closed." (Id. at ¶ 6, Ex. C.) Respondent responded on the same day with a denial letter as the records requested are investigatory in nature and exempt from disclosure pursuant to Gov. Code § 7923.600. (Ibid.)

The Petition seeks a writ of mandate pursuant to Code Civ. Proc. § 1085 (ROA 29 at p.2), which governs ordinary mandamus writ relief. (Code Civ. Proc., § 1085, subd. (a) ("A writ of mandate may be issued by any court to any inferior tribunal, corporation, board, or person, to compel the performance of an act which the law specially enjoins, as a duty resulting from an office, trust, or station, or to compel the admission of a party to the use and enjoyment of a right or office to which the party is entitled, and from which the party is

		unlawfully precluded by that inferior tribunal, corporation, board, or person”). To obtain writ relief, a petitioner must demonstrate (1) no plain, speedy, and adequate alternative remedy exists; (2) a clear, present… ministerial duty on the part of the respondent; and (3) a correlative clear, present and beneficial right in the petitioner to the performance of that duty. (*In re C.F.* (2011) 198 Cal.App.4th 454, 465.) A ministerial duty is an obligation to perform a specific act in a manner prescribed by law whenever a given state of facts exists, without regard to any personal judgment as to the propriety of the act. (*California Association of Professional Scientists v. Department of Finance* (2011) 195 Cal.App.4th 1228, 1236.) “The CPRA, enacted in 1968, grants access to public records held by state and local agencies. Modeled after the federal Freedom of Information Act …, the CPRA was enacted for the purpose of increasing freedom of information by giving members of the public access to records in the possession of state and local agencies. Such access to information concerning the conduct of the people’s, the Legislature declared, is a fundamental and necessary right of every person in this state.” (*Iloh v. Regents of Univ. of California* (2023) 87 Cal.App.5th 513, 523 (*Iloh*) (cleaned up).) “Consistent with that fundamental right of access to information, the CPRA dictates that every person has the right to inspect any public record, except those records expressly exempted from disclosure. (§ 7922.525, subd. (a).) The CPRA broadly defines public records to include any writing containing information relating to the conduct of the public’s business prepared, owned, used, or retained by any state or local agency. (§ 7920.530, subd. (a).) Our Constitution requires that these provisions furthering the people’s right of access to information be broadly construed. (*Iloh*, 87 Cal.App.5th at p. 523 (cleaned up).) “Nevertheless, the act does not confer an absolute right of access. As part of the CPRA, the Legislature included a provision declaring it was mindful of the right of individuals to privacy. This express policy declaration bespeaks legislative concern for individual privacy as well as disclosure. [¶] To balance those competing goals of privacy and public access, the CPRA includes numerous exemptions that permit public agencies to refuse disclosure of certain public records. (*Iloh*, 87 Cal.App.5th at p. 523 [cleaned up].) The CPRA authorizes any person seeking “to enforce that person's right under [the CPRA] to inspect or receive a copy of any public

record or class of public records" to bring an action for injunctive or declarative relief or a writ of mandate to obtain judicial review of an agency's decision not to disclose requested records. (Gov. Code § 7923.000.) If, after issuing an order to show cause, the court determines "the public official's decision to refuse disclosure is not justified" under the CPRA, it "shall order the public official to make the record public." (Gov. Code §§ 7923.110, 7923.100.) Thus, the remedy available under the CPRA is ordinarily a determination "whether a particular record or class of records must be disclosed." (*County of Santa Clara v. Superior Court* (2009) 171 Cal.App.4th 119, 127 ["The CPRA provides no judicial remedy ... for any purpose other than to determine whether a particular record or class of records must be disclosed."].)

In response to a petition for writ of mandate under the CPRA, a respondent may assert as affirmative defenses: (1) a request was unclear and the agency provided adequate assistance to the requestor to identify records but was still unable to identify any records; (2) the withholding was justified under the Public Records Act; or (3) the agency undertook a reasonable search for records but was unable to locate the requested records. (See C*ommunity Youth Athletic Center v. City of National City* (2013) 220 Cal.App.4th 1385, 1418.)

As a threshold matter, Petitioner has submitted a new request through his Petition different from those requests submitted prior to filing the Petition, and again through his Amended Petition, and thus cannot establish that Respondent has made a decision not to disclose the records requested in these new requests.

Aside from this issue, the only requests submitted in the Amended Petition are the following: "a. The current status of OCSD Case No. 22-026128 (closed / active / transferred); b. If transferred, the date of transfer, the agency to which it was transferred, and any OCSD reference number." This request is not a document request but a request to answer certain questions.

The CPRA defines "public records" as "any writing containing information relating to the conduct of the public's business prepared, owned, used, or retained by any state or local agency regardless of physical form or characteristics" (Gov. Code §7920.530.) This definition makes clear that the Act applies only to writings that already exist and are in the possession of the agency. At any rate, Respondent has provided evidence that it has no records responsive to this request. (Alvarez Dec., ¶¶ 11-13.) Finally, Respondent has shown that all records related to Case No. 22-026128 that may be responsive are investigatory records and exempt from disclosure

		pursuant to Government Code section 7923.600(a). (Alvarez Dec., ¶ 14.) The Petition is denied. Respondent shall give notice of this ruling.
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